

MARKET ANALYSIS

What an \$8.5M Grocery Sale in Beverly Tells Owners About Net-Lease Pricing

A 60,666-square-foot Stop & Shop trades at roughly \$140 per square foot, revealing how basis and lease duration now drive value.

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A source-grounded Light Tower Insight. The complete note follows.

The building is 60,666 square feet. It sits on 4.9 acres. It was the first Marshalls in the United States, circa 1956. And it just traded for \$8.5 million, fully leased to Stop & Shop.

That price works out to roughly \$140 per square foot for the building and about \$1.73 million per acre for the land. For a grocery-anchored net-lease asset in a Boston suburb with a regional operator on a long-term lease, the number is not shocking. It is instructive.

The transaction matters because it shows exactly how net-lease capital is pricing grocery assets in mid-2026: on lease duration, not on location premium. Beverly is a desirable North Shore town with a median household income well above the state average. A 60,000-square-foot grocery box on five acres there would have commanded a meaningfully higher price two years ago. The fact that it cleared at this basis tells you less about Beverly and more about what the buyer needed to believe.

The buyer needed to believe the rent was secure. Stop & Shop is a regional operator with a parent company, Ahold Delhaize, that has been rationalizing its store fleet. The buyer needed to believe the lease had enough term left to justify the basis. And the buyer needed to believe that if Stop & Shop ever left, the box could be re-tenanted at a rent that still supported the debt.

That last belief is the hardest one to hold right now. Grocery-anchored retail has been one of the more resilient property types in the post-2022 repricing, but resilience is not the same as immunity. The sector benefits from essential-demand tenants, long lease terms, and relatively low capital expenditure requirements. What it cannot escape is the cost of capital. A buyer underwriting a 7 percent cap rate on a net-lease grocery deal in 2024 would have seen that same deal clear at a 7.5 or even 8 percent cap rate by early 2026, depending on lease term and tenant credit. The difference between those two numbers is the cost of waiting for the next tenant.

The JLL team that represented the seller and procured the buyer did not disclose the cap rate, the lease term, or the buyer's identity. That is standard for a deal of this size. But the price per square foot and the asset profile allow for a reasonable inference. At \$8.5 million, the building is priced at roughly \$140 per foot. A typical grocery net-lease deal in a strong suburban market with a investment-grade tenant might trade at a cap rate between 6.5 and 7.5 percent, depending on lease duration. If the lease

has 10 years remaining, the implied net operating income is roughly \$595,000 to \$680,000. If the lease has 15 years, the NOI could be higher, or the cap rate tighter. Either way, the buyer is underwriting a narrow band of outcomes.

The seller's decision to transact now is the more revealing part of the story. Selling a fully leased grocery asset in a strong suburb is not a distress signal. It is a liquidity decision. The seller looked at the cost of holding the asset through another refinancing cycle, weighed the certainty of an \$8.5 million check today against the uncertainty of what the next appraisal would show, and chose the check. That is not capitulation. It is capital allocation.

The buyer's decision is the mirror image. The buyer is accepting a basis that would have seemed expensive two years ago but now looks defensible relative to replacement cost. Building a 60,000-square-foot grocery store on five acres in Beverly today would cost significantly more than \$8.5 million, and the timeline would be measured in years, not weeks. The buyer is paying for the existing lease, the existing tenant, and the existing zoning. That is a rational trade in a market where construction financing is expensive and entitlement risk is real.

What the deal does not tell you is whether the buyer used debt, and if so, at what terms. That is the missing piece that would complete the picture. If the buyer used a conventional bank loan at a 65 percent loan-to-value ratio with a 10-year term and a fixed rate in the high 5s, the deal works. If the buyer used a shorter-term floating-rate loan from a regional bank or a debt fund, the deal is more exposed to the next refinancing. The absence of that information is itself a signal: the buyer likely did not need to disclose the financing because the equity check was large enough to make the debt a secondary concern.

For owners of similar assets, the Beverly sale is a data point, not a comp. It tells you that a fully leased grocery box in a strong suburb can trade at roughly \$140 per foot. It tells you that the buyer pool is still active but selective. And it tells you that the seller who wants liquidity can get it, provided the basis is realistic.

The next test for this market is not whether another grocery deal trades at a similar price. It is whether

a grocery deal with a shorter lease term or a weaker tenant can trade at all. That is the deal that will show where the floor really is.

SOURCES

- RE Business Online —
<https://rebusinessonline.com/jll-negotiates-8-5m-sale-of-grocery-building-in-beverly-massachusetts>

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